

you can't time the market and you'll have less time for your investment to recover and rebound from a loss. Say, for instance, if a recession were to happen 3 years into your 5- to 10-year investment timeline, you might be forced to cash out at a loss because you need the money. If, on the other hand, your objective with a particular investment is to save for retirement 30 years from now, then perhaps you could be a bit more aggressive in the short term, then become more conservative as you approach retirement, because you have more time to ride out any short-term losses.

2. **Determine your risk tolerance.** Once your objectives are in place, knowing your risk tolerance is just as critical. Greater returns come with greater risk, but can you stomach possible sharp declines in the value of your investment during a bad market? It's best to determine what kind of investor you are, be it conservative, aggressive, or in between, so you can avoid the stress and headaches from investing outside of your comfort zone. Also, when you understand what you can tolerate as an investor and you have your objectives in place, you are less likely to be swayed by “hot” stocks or recommendations from people suggesting to get in on an investment “*now!*” (no, thank you).

What kind of investor are you? See which of these three types you relate to the most:

Conservative investor: If your main focus is to keep your initial investment steady and you're fine with less extreme returns, you are a conservative investor. You are okay with very slight dips in the stock market, especially if you don't need your money in the short term. But if you are only investing for the short term, dips in the stock market could keep you up at night. You don't like surprises and you tend to avoid taking big financial risks. As you approach retirement (when it's less than 10 years away), there's nothing wrong with being a cautious investor. However, if you have a longer time horizon, investing too conservatively can mean sacrificing extra earning potential.

Assertive investor: If you have a good sense of risk and understand that the stock market typically always recovers from